

Business Analytics Terminology:

1. Business Analytics - Is to use data to solve certain business problems and to make smarter choices for the business.

Example: Netflix uses our viewing history to decide which shows to give a greenlight, like *Stranger Things* because they already know there is a very large audience for it.

2. Data Analytics - Is the process of taking raw data to clean, collect and find certain patterns to use as useful information.

Example: A fitness App analyzes the users activity data to show your progress

3. Business Intelligence (BI) - Refers to tools and systems that process, collect and present data. It is used to report past data and current performance through reports

Example: A dashboard showing monthly sales performance

4. Data-Driven Decision Making - It is a practice of making decisions based on certain data than just guessing. It make your work to be supported by evidence.

Example: Finance and Banking, Analyzing transaction patterns in real time to detect any fraud and predict potential risks

5. Big Data - It refers to large and very complex datasets that are not easy to process using certain tools. They are described by their volume.

Example: Social Media platforms analyzing millions of user interactions.

6. Descriptive Analytics - It is the process whereby we use historical data to explain what has already happened. It summarizes the data into charts or dashboards.

Example: A Reports of last years sales in a business.

7. Diagnostic Analytics - It is a branch of analytics that answers the question, "Why did this happen?". It brings insight into the causes they have seen in their Data.

Example: Manufacturing, A contract manufacture found that a valuable type of machine is experiencing failures. So they use diagnostic analytics to examine the machines logs.

8. Predictive Analytics - It uses historical data and statistics to try find out future outcomes. When it comes customer behavior or a few trends.

Example: Predicting which customers may leave the business.

9. Prescriptive Analytics - It helps businesses determine the best way forward based on data insights and predictions.

Example: Determining optimal treatments paths for patients based on historical data on them.

10. Data literacy - It is the ability to understand, read, work with and communicate with data to make informed decisions. It makes their jobs a bit easier.

Example: A manager reading and understanding charts correctly.

11. Structured Data - Is a easily searchable information that is organized. Typically in rows and columns, its mainly easy to store and analyze.

Example: Excel spreadsheets.

12. Unstructured Data - It is information that does not follow a certain order which makes it not suitable for traditional relational datasets. It includes texts, images and videos.

Example: Customer reviews and social media posts.

13. Data Warehouse - It is a system that is used to store a large amount of data from different sources.

Example: Storing patient information from different departments and clinics to evaluate treatment methods.

14. Data Mining - Is when you explore large datasets to discover a few hidden patterns. It uses techniques like classification.

Example: E-commerce product recommendations.

15. Data Visualization - It is a presentation of data information in graphical sets, such as charts and graphs. It helps with understanding insights fast and easy.

Example: A bar chart showing the number of sales growing.

16. Dashboard - It is a visual interface that shows / displays key metrics and data in one place. It is updated in real time to monitor performance.

Example: Analyzing web traffic, user behavior and conversion rates.

17. Metric - It is a measurable value used to track progress, compare or even look at performances of a business overtime that is quantifiable.

Example: Key performance indicators (KPIs) and monthly recurring revenue.

18. Key performance indicator (KPI) - It is a quantifiable way to measure the performance in success to achieving certain business goals. It measures how well the business/company is performing.

Example: Financial, Revenue Growth Rate and Gross Profit Margin.

19. Benchmark - It is a reference point that is used to compare performances in businesses. It helps with seeing how competitors are doing.

Example: Comparing your company's sales growth to industry average.

20. Segmentation - It is a process of separating customers based on what they like into groups. It helps companies target them according.

Example: Grouping customers by their buying behavior.

21. Conversion Rate - It's the number / percentage of users who follow the steps to complete a desired action out of the total number of users. It's used mostly for marketing.

Example: Percentage of visitors who make a purchase.

22. Customer Acquisition Cost (CAC) - It is the total cost of getting a new customer and that includes marketing and sales expenses. It helps businesses understand how much they spend in order to grow.

Example: Marketing spend divided by number of new customers.

23. Customer Lifetime Value (CLV) - It represents the total profit a business expects to earn from a customer over their lifetime. It's the long term value of a customer relationship.

Example: Total amount a customer spends over the years.

24. Churn Rate - It is the total percentage of customers who stop using a service or product over a period of time. It gives you the number of customers you lose.

Example: Subscription cancellations.

25 Customer Retention Rate - It is a way to measure the rates or percentage number of customers who continue to use a product or service over time, which shows how loyal they are.

Example: Loyal customers who renew subscriptions eg Netflix

26 Net Promoter Score [NPS] - It measures the customer loyalty based on how they recommend a product/service that are calculated from ~~9~~ survey responses

Example: Customers rating 9-10 are promoters

27 Average Order Value [AOV] - It is the average amount of money spent per transaction. It is calculated by dividing the total revenue by the number of orders.

Example: $\text{Total revenue} \div \text{number of orders}$

28 Sales Funnel - It is the different stages a customer goes through before making a purchase eg interest, consideration and making the decision

Example: Awareness $\rightarrow$ Interest $\rightarrow$ Decision $\rightarrow$ Purchase

29 Marketing Campaign - Is when there is a plan of activities set to promote a product or services to target an audience

Example: A social media AD Campaign

30 Post-Campaign Analysis - It checks the performance of a marketing campaign after it has ended to see what works and what needs improving

Example: Measuring ROI after a promotion

31 Incremental Revenue - It is a revenue generated as a direct result for a specific ~~an~~ action to isolate the true impact of an initiative.

Example: Extra sales during a promotion

32. Return on Investment (ROI) - It is a way to measure the profitability of an investment by comparing the return to its cost. It determines if it is worthwhile.

Example: Profit earned from a campaign vs cost

33. Return on Ad Spend (ROAS) - Measures the revenue generated for every amount of money spent on advertising.

Example: RS earned for every ₹1 spent

34. Click-Through Rate (CTR) - It is the total number of people who click on a link of advertisement after seeing it. It shows how the ad is attracting attention.

Example: $\text{Clicks} \div \text{Impressions}$

35. Bounce Rate - Is a percentage that shows the number of visitors who leave a website after viewing only one page. It shows poor user experience.

Example: Leaving after viewing one page

36. A/B Testing - Is a method of comparing two versions of something to see which one performs better than the other.

Example: Testing two email subject lines

37. Lead Generation - Is the process of attracting and capturing potential customers' interest by collecting information for future marketing.

Example: Sign up form

38. Marketing Attribution - Is a process of identifying which marketing channels help businesses understand where their sales come from.

Example: Whether a sale came from email or social media.

Sources

- 1 Oracle NetSuite
- 2 <https://www.sap.com>
- 3 Investopedia
- 4 IBM
- 5 Hubspot
- 6 PowerMetrics